Finance Basics Guide

Chapter 1: Interest Rates

An interest rate is the percentage charged on a loan amount or paid on savings.
It represents the cost of borrowing money or the return on invested funds.
Interest rates can be fixed or variable depending on the loan agreement.

Types of interest rates:

- Simple Interest: Calculated only on the principal amount
- Compound Interest: Calculated on principal plus accumulated interest
- Annual Percentage Rate (APR): The yearly cost of borrowing

Chapter 2: Loans and EMI

A loan is an amount of money borrowed from a lender that must be repaid with interest. Equated Monthly Installment (EMI) is a fixed payment made by a borrower to a lender at a specified date each month.

EMI Components:

1. Principal: The original loan amount
2. Interest: The cost of borrowing the principal
3. Tenure: The duration over which the loan must be repaid

The EMI amount depends on three factors: principal amount, interest rate, and tenure. A longer tenure results in lower EMI but higher total interest paid.

Chapter 3: Credit and Creditworthiness

Credit is the ability to borrow money or access goods or services with the understanding that payment will be made in the future.

Creditworthiness is an assessment of how likely a borrower is to repay a loan.
Lenders evaluate creditworthiness using several factors:

- Credit history and credit score
- Income and employment stability
- Existing debt obligations
- Collateral or assets owned

Maintaining good creditworthiness helps secure loans at favorable interest rates.